AddVantage Plus Insurance
(Regular Premium Investment-Linked Plan)
Plan Code: 0275

PLAN DESCRIPTION

a) This product is a regular premium investment-linked policy with access to professionally managed Unit Funds with the benefit of the life insurance cover.
b) Premiums paid are used to purchase units in the Unit Fund(s). The policy value of this plan will vary directly with the performance of the Unit Fund(s).
c) This plan is a whole life plan.
d) The policy will lapse if the Total Investment Value falls to zero or below.
e) With regards to the APILP related structure, the premium 'spill-over' will be considered as 'Balancer' (previously term as force-GSR)

Launch Date
1st January 2009

PLAN BENEFITS

1. Death Benefit

The Current Sum Assured (CSA), Additional Sum Assured plus Total Investment Value (TIV) will be payable upon death. TIV is calculated at Bid Price at the next Valuation Date.

In the event death occurs before age of 5, 100% of TIV and the following percentage of Current Sum Assured are payable.

Age next birthday	Death Benefit after Lien
1	20% of the Current Sum Assured
2	40% of the Current Sum Assured
3	60% of the Current Sum Assured
4	80% of the Current Sum Assured

Full life cover will be given from age 5 years next birthday.

2. Total and Permanent Disability (TPD) Benefit

If the Life Assured becomes totally and permanently disabled (TPD), the Company shall pay the total investment value in one lump sum, the Current Sum Assured and the Additional Sum Assured in 3 annual instalments with the first being a lump sum of the Current Sum Assured plus Additional Sum Assured or RM 1,000,000 whichever is lesser, and the balance of the Current Sum Assured and Additional Sum Assured (if any), will be payable in two equal annual instalments of maximum RM 500,000 each.

The above shall only apply for TPD occurring prior to the policy anniversary on which the Life Assured attains age 65 next birthday.

The TPD cover for child (inclusive of Additional Sum Assured) below age 5 next birthday is subject to the lien as per Death Benefit and maximum amount of RM 500,000 under this and all policies and riders on the same life. Full TPD cover will be given from age 5 next birthday onwards.

The maximum TPD Benefit payable under this and all policies and riders on the same life, excluding Mortgage Decreasing Term Policy without Profits (with TPD Benefits),

the Enhanced TPD Rider and Term Policy without Profits (with TPD Benefits), is RM 2,000,000 per life.

The maximum TPD Benefit payable under this and all policies and riders on the same life, is RM 3,500,000 per life.

3. Additional Sum Assured

The Additional Sum Assured payable at death or TPD will start at 5% of the Current Sum Assured at the following policy anniversary, and increase by 5% of the Current Sum Assured at every subsequent policy anniversary until the 20th policy anniversary.

Where Current Sum Assured:

= Basic Sum Assured at policy commencement (Initial Sum Assured) if there is no increase / decrease in sum assured request by the policyholder

= any new sum assured amount following an increase / decrease in sum assured request by the policyholder

Inforce Sum Assured is the sum of Current Sum Assured and Additional Sum Assured

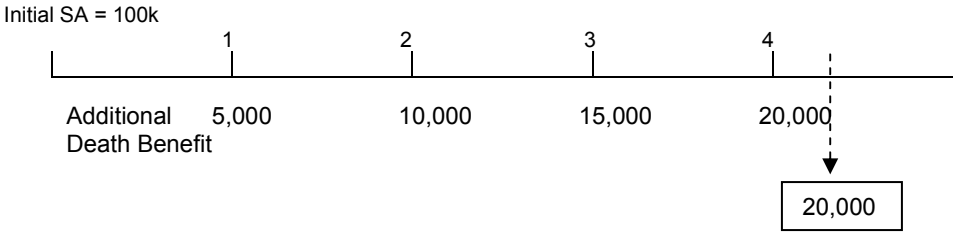
Insurance charges for the additional sum assured are applied accordingly.

Examples:-

Scenario 1:

Initial Sum Assured = RM100,000. No increase/ decrease in sum assured. Death occurs at 4 years and 3 months.

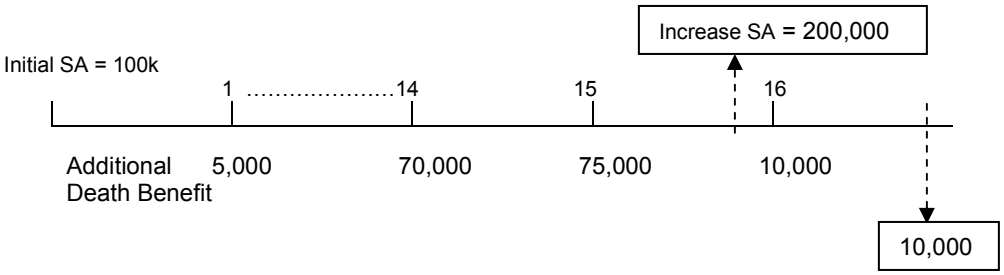
Total Additional Death Benefit payable at death = RM20,000



Scenario 2:

Initial Sum Assured = RM100,000. Increase in Sum Assured from RM100,000 to RM200,000 in policy year 15 and 2 months. Death occurs at 16 years and 3 months.

Total Additional Death Benefit payable at death = RM10,000

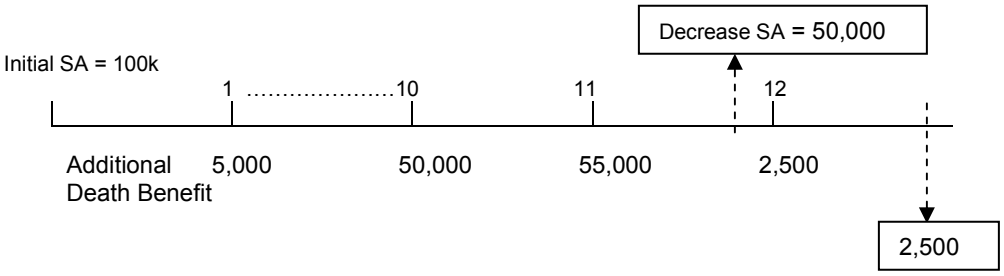


Note:
The policyholder <u>wants</u> a SA of RM200,000 in policy year 15 and 2 months, so there is no 'loss' of previously accumulated SA of RM75,000 because we cannot force the RM75,000 upon the policyholder and charge for it. Remember: The additional SA will attract additional insurance charges.

Upon increase in Sum Assured in policy year 15 and 2 months, the portion of Sum Assured that may require underwriting is the difference between the new Sum Assured requested by policyholder and Current Sum Assured (RM200,000 minus RM100,000 = RM100,000).

<u>Scenario 3</u>:
Initial Sum Assured = RM100,000. Decrease in Sum Assured from RM100,000 to RM50,000 in policy year 11 and 2 months. Death occurs at 12 years and 3 months.

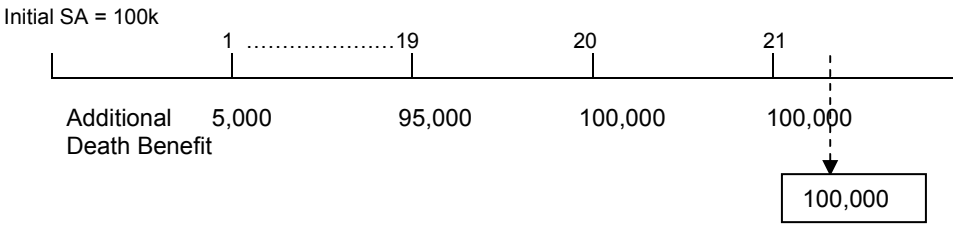
Total Additional Death Benefit payable at death = RM2,500



Note:
The policyholder <u>wants</u> a SA of RM50,000 in policy year 11 and 2 months, so there is no 'loss' of previously accumulated SA of RM55,000 because we cannot force the RM55,000 upon the policyholder and charge for it. Remember: The additional SA will attract additional insurance charges.

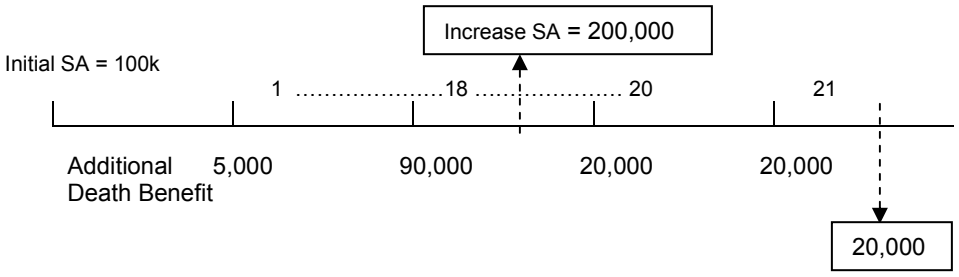
<u>Scenario 4</u>:
Initial Sum Assured = RM100,000. No increase/decrease in Sum Assured. Death occurs at 21 years and 3 months.

Total Additional Death Benefit payable at death = RM100,000



The Additional Sum Assured will increase up to 20th policy anniversary. Hence, there will be no more increase SA from 21st policy anniversary onwards.

Scenario 5:
Initial Sum Assured = RM100,000. Increase in Sum Assured from RM100,000 to RM200,000 in policy year 18 and 2 months. Death occurs at 21 years and 3 months.
Total Additional Death Benefit payable at death = RM20,000



Note:
The policyholder wants a SA of RM200,000 in policy year 18 and 2 months, so there is no 'loss' of previously accumulated SA of RM90,000 because we cannot force the RM90,000 upon the policyholder and charge for it. Remember: The additional SA will attract additional insurance charges.

Upon increase in Sum Assured in policy year 18 and 2 months (requested by policyholder), the portion of Sum Assured that may require underwriting is the difference between the new Sum Assured requested by policyholder and Current Sum Assured (RM200,000 minus RM100,000 = RM100,000).

The Additional Sum Assured will increase up to 20th policy anniversary. Hence, there will be no more increase SA from 21st policy anniversary onwards.

Child lien is applicable to this additional Death and TPD Benefit.

4. Additional Bonus Allocation
Additional 5% of Basic Insurance Premium (BIP) allocation will be given from policy year 6 to policy year 15, subject to the premium is fully paid for the first 5 policy years.

Examples:-
Scenario 1:
Annual BIP = RM2,400

Policy Year / Allocation Year	Annual BIP	Existing Allocation	Additional Allocation	Gross Allocated BIP
1	2,400	45%	0%	1,080
2	2,400	45%	0%	1,080
3	2,400	80%	0%	1,920
4	2,400	80%	0%	1,920
5	2,400	90%	0%	2,160
6	2,400	90%	5%	2,280
7 to 15	2,400	105%	5%	2,640
16 onwards	2,400	105%	0%	2,520

Scenario 2:
Annual BIP = RM2,400. Increase in BIP from RM2,400 to RM3,000 in policy year 4. Premium allocation for additional BIP of RM600 will start afresh (Start from 1st year premium allocation onwards).

Initial Annual BIP: RM2,400

Policy Year / Allocation Year	Annual BIP	Existing Allocation	Additional Allocation	Gross Allocated BIP
1	2,400	45%	0%	1,080
2	2,400	45%	0%	1,080
3	2,400	80%	0%	1,920
4	2,400	80%	0%	1,920
5	2,400	90%	0%	2,160
6	2,400	90%	5%	2,280
7 to 15	2,400	105%	5%	2,640
16 onwards	2,400	105%	0%	2,520

Additional BIP: RM600 (Start from Policy Year 4)

Policy Year	Allocation Year	Additional BIP	Existing Allocation	Additional Allocation	Gross Allocated BIP
4	1	600	45%	0%	270
5	2	600	45%	0%	270
6	3	600	80%	0%	480
7	4	600	80%	0%	480
8	5	600	90%	0%	540
9	6	600	90%	5%	570
10 to 19	7 to 15	600	105%	5%	660
20 onwards	16 onwards	600	105%	0%	630

CHARGES

1. Insurance Charge

a) Basic benefit insurance charges depend on the attained age at last policy anniversary.
b) The monthly insurance charges are calculated as the sum assured times one twelfth of the risk rates corresponding to the attained age.
c) These charges will be deducted by selling units already allocated to the Policy, at the Bid Price on the next Valuation Date following the due date of the insurance charges.
d) Please refer to Appendix 1 for Insurance Charge.

2. Fund Management Charge

a) A fund management charge will be deducted at each asset valuation before determining the bid and offer prices. Unit prices will reflect the deduction.

b) The management charge to be deducted is:

$$\frac{t}{250} \times K\% \times \text{Value of Fund}$$

where:

t = the number of business days from the preceding Valuation Date to the Current Valuation;

K% = the percentage charge (subject to the Investment Committee's approval) for the appropriate fund as follows:

Fund	K%
Lion Growth Fund	1.45
Lion Balance Fund	1.00
Dana Restu	1.45
Lion Progressive Fund	1.35
Lion Fixed Income Fund	0.50
Dana Sejati	0.50
Lion Strategic Fund	1.25

* subject to management changes

c) Value of Fund refers to the value of the appropriate fund as determined by the Company.

3. Policy Fee

A monthly administration fee of RM6 will be deducted by selling units already allocated to the Policy from the policy owner's funds, at the Bid Price at the next Valuation Date, at the beginning of each policy month.

BID-OFFER PRICE

1. Offer Price

The price at which the policy owner buys the units in a fund.

2. Bid Price

The price at which the policy owner sells the units back to the fund.

3. Bid-Offer Price

The Bid Price is 95% of the Offer Price.

4. Determination of Price

Bid and Offer Prices of each fund are determined daily, after the valuation of the assets of that fund.

PREMIUM ALLOCATION

1. Regular Premium

The Basic Investment Premium are allocated to the unit funds at the following rates (include the Additional Bonus Allocation):

Premium Due and Paid	Allocation Rate %
1st and 2nd years	45
3rd and 4th years	80
5th year	90
6th year	95
7th to 15th years	110
16th and subsequent years	105

2. Single Premium Top-Up / GSR / Balancer

Allocation Rate : 100%

FLEXIBLE OPTIONS

1. Single Premium Top-ups

A policy owner can make further single premium as investment top-ups subject to the minimum of RM 1,000 each at any time before age 70 provided the current year's and all previous years' BIP have been fulfilled.

2. Premium Increment

A policyholder can increase the regular Basic Investment Premium subject to the following conditions:

a) Increase in premium can take effect from the previous or next Policy Anniversary subject to the constraints below:

Mode of Payment	Minimum Increment (RM)
Annually	600
Half-yearly	300
Quarterly	150
Monthly	50

b) The minimum and maximum sum assured limits will be recalculated automatically. If at the point of application of premium increment the current sum assured is below the revised minimum limit, the sum assured will be increased to that revised minimum limit subject to underwriting. However such underwriting could be dispensed off provided that the life assured is standard lives and the aggregate increment in sum assured over the past 12 months is not more than RM 3,000.

c) Any increase in premium will be treated as a new premium for the purpose of allocation to the unit funds.

3. Partial Withdrawal

Monies can be withdrawn by selling some of the units at the Bid Price in one or more of the invested funds subject to the following conditions:

a) If the value of the invested fund from which units are to be withdrawn is less than RM 2,000, then all units from that fund must be withdrawn and sold;
b) If the value of that invested fund is more than RM 2,000, then the minimum withdrawal amount must equal to RM 1,000 and the remaining units in that invested fund equal to RM 1,000;
c) The aggregate value of the remaining units in all funds must be at least RM 5,000.

4. Switching

A policy owner can sell units in any one fund at the Bid Price and purchase units in any of the other funds at the Bid Price, at any time after the policy has turned in force, subject to the following conditions:

a) If the value of the invested fund from which units are to be sold is less than RM 2,000, then all units from that fund must be sold;
b) If the value of that invested fund is more than RM 2,000, then the minimum amount sold to purchase units in another unit fund must equal to RM 1,000 and the remaining units in that original fund from which the units are sold, equal to RM 1,000.

First switch request for each year is free and the subsequent requests in the same year attract a fee of RM 25 to be payable in cash or cheque for each later switch. More than one switch can be done at one time and this will be considered as a single switch.

5. Changing Premium Apportionment

A policyholder can alter the premium apportionment at any time at no charge. After the Company receives the alteration request, the next and all future premiums will be apportioned to the Unit Funds in the new proportions subject to the constraints below:

Mode of Payment	Minimum Amount Apportionable to Each Fund (RM)
Annually	200
Half-Yearly	100
Quarterly	50
Monthly	20

UNDERWRITING

1. Premiums

Mode of Payment	Minimum BIP (RM)	Maximum BIP (RM)
Annually	2,160	No Limit
Half-Yearly	1,080	No Limit
Quarterly	540	No Limit
Monthly	180	No Limit

2. Sum Assured for Basic Benefit

New Business

Minimum :

Age at Entry	Minimum Multiples of Annual Investment Premium
1 – 50	20

And subject to the LIAM rule

Maximum : subject to sufficiency tests whereby projected funds is sufficient to meet projected risk and other charges over a pre-specified period

3. Age at Entry

Minimum : 1 year next birthday
(19 years next birthday for policy ownership)

Maximum : 50 years next birthday

4. Female Rates

Separate mortality charges are available for Male and Female.

5. Non-smoker Discount

Separate mortality charges are available for Non-Smoker and Smoker.

6. Large Sum Assured Discount

Not Applicable.

7. Non-Medical Limits

The proposal will be underwritten based on the combined Sum Assured of Basic Benefit and riders (if applicable). The non-medical limits are based on current Internal Underwriting Guidelines/Field Underwriting Manual.

8. Underwriting for Substandard Life

Follow Existing Practice.

9. Backdating

Not Applicable.

CHANGES IN SUM ASSURED

Any changes in the sum assured can take effect only at the beginning of a policy month:

1. Increase in Sum Assured

Allowed up to the maximum sum assured but may require underwriting and at least 30 days notification is given to the policy month of increment to take effect.

2. Decrease in Sum Assured

Policyholder may voluntarily reduce the sum assured, subject to the minimum sum assured limits.

FUND ASSET ALLOCATION

Fund Asset Allocation
Policy owner can choose to invest in one or more of:

a) **Lion Balanced Fund**
A balanced fund which invests in a mixture of equity and fixed income securities comprising convertible debt securities, redeemable debt securities, government-backed bonds/securities. The fund's exposure to equities (between 40% to 60% of the fund) will preserve the long-term purchasing power of assets.

b) **Lion Growth Fund**
This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. The fund's allocation to equity investments is from a minimum of 70% to a maximum of 100%.

c) **Dana Restu (formerly known as Barakah Fund)**
This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. Allocation to equity investment is between 70% to 100% of the portfolio. Dana Restu invests in Syariah-approved securities.

d) **Lion Fixed Income Fund**
Invests in government securities, corporate bonds and money market securities. The fund allocates a minimum of 40% and a maximum of 95% to fixed income securities. The aim of the fund is to preserve the capital and it appeals to risk-averse investors.

e) **Lion Progressive Fund**
This fund seeks to maximise capital appreciation over the medium to long term while reducing risk through a diversified portfolio of investments comprising equities and fixed income securities. In general, the fund invests in a minimum of 50% and up to a maximum of 90% in equities.

f) **Dana Sejati (formerly known as Mauzuun Bond Fund)**
This fund invests in Islamic fixed income instruments and money market deposits. The fund allocates a minimum of 40% and a maximum of 95% to Islamic private debt securities. The aim of the fund is to preserve capital and provide consistent return to risk-averse investors.

g) **Lion Strategic Fund**
This fund seeks to achieve medium to long-term capital appreciation while reducing risk through a diversified portfolio of investments comprising equities, fixed income securities and money market instruments. The initial equities exposure is targeted in between 55% - 75%. However, there is also a flexibility to invest entirely in fixed income securities or equities.

RIDERS / SUPPLEMENTARY BENEFITS

Riders available

The following riders can be attached to this plan:

a) Payer Benefit (U16) / Payer Benefit Plus (U17)
b) Waiver of Premium – Total & Permanent Disability (U31)
c) Waiver of Premium – Dread Disease (U26)
d) Critical Illness Benefit Rider (U30)
e) Great Income Rider (U32)
f) Investment-Linked Health Protector (U35 – U38)
g) Investment-Linked HealthCare Benefit (U53 – U57)
h) Investment-Linked Hospitalisation Income Benefit (U45)
i) Great Saver Rider
j) Living Assurance Benefit (U18)
k) IL LadyCare Rider (U58)
l) IL LadyCare Advantage Rider (U59)
m) IL Premier Medical Reimbursement and Hospitalisation Benefits Rider (U60)
n) IL Premier Accidental Death and Dismemberment Benefits Rider (U61)
o) IL Premier Comprehensive Accident Benefits Rider (U62)
p) IL Waiver of Premium Plus (U63)

Note:

i. Please refer to the product write-up for the above products.
ii. All riders will automatically terminate when the Policy terminates due to any reason.

Assignment/Third Party Policy

i. There is no restriction on assigning and this policy can be issued as Third Party policy.
ii. 5% Service Tax is applicable to all premiums including single premium top-ups paid by business organisation as third parties.
iii. This minimum age at entry for policy owners should be 19 years old (no age limit for life insured).

Free-Look Period

Policy owner is allowed to cancel the policy within 15 days. Basic Investment Premium, less medical fees incurred and adjustments to reflect the change in market value of the underlying assets, will be refunded.

Equivalently, the refund is the sum of the

a) Value of units that have been allocated to the policy; and
b) Amount of any charges that have been deducted from the value of units; and
c) Amount of premiums that have not been allocated;

Less

Medical expenses incurred, if any, for medical examinations.

Termination of Premium Payment

Termination of premium payment does not directly result in policy termination. The policy continues to remain in force so long the Total Investment Value (TIV) is positive.

Appendix 1: Insurance Charge Rates per Annum per RM1,000 Sum Assured

Age Next Birthday	Male		Female	
	Smoker	Non-Smoker	Smoker	Non-Smoker
1	1.34	1.34	1.34	1.34
2	1.34	1.34	1.34	1.34
3	1.34	1.34	1.34	1.34
4	1.34	1.34	1.34	1.34
5	1.34	1.34	1.34	1.34
6	1.34	1.34	1.34	1.34
7	1.34	1.34	1.34	1.34
8	1.34	1.34	1.34	1.34
9	1.34	1.34	1.34	1.34
10	1.34	1.34	1.34	1.34
11	1.34	1.34	1.34	1.34
12	1.34	1.34	1.34	1.34
13	1.34	1.34	1.34	1.34
14	1.34	1.34	1.34	1.34
15	1.34	1.34	1.34	1.34
16	1.34	1.34	1.34	1.34
17	1.34	1.34	1.34	1.34
18	1.34	1.34	1.34	1.34
19	1.34	1.34	1.34	1.34
20	1.34	1.34	1.34	1.34
21	1.34	1.34	1.34	1.34
22	1.34	1.34	1.34	1.34
23	1.34	1.34	1.34	1.34
24	1.34	1.34	1.34	1.34
25	1.34	1.34	1.34	1.34
26	1.34	1.34	1.34	1.34
27	1.34	1.34	1.34	1.34
28	1.34	1.34	1.34	1.34
29	1.34	1.34	1.34	1.34
30	1.34	1.34	1.34	1.34
31	1.34	1.34	1.34	1.34
32	1.34	1.34	1.34	1.34
33	1.34	1.34	1.34	1.34
34	1.34	1.34	1.34	1.34
35	1.34	1.34	1.34	1.34
36	1.45	1.34	1.34	1.34
37	1.55	1.45	1.34	1.34
38	1.67	1.55	1.34	1.34
39	1.81	1.67	1.45	1.34
40	1.98	1.81	1.55	1.45
41	2.18	1.98	1.67	1.55
42	2.43	2.18	1.81	1.67
43	2.73	2.43	1.98	1.81
44	3.08	2.73	2.18	1.98
45	3.46	3.08	2.43	2.18
46	3.88	3.46	2.73	2.43

47	4.35	3.88	3.08	2.73
48	4.84	4.35	3.46	3.08
49	5.37	4.84	3.88	3.46
50	5.96	5.37	4.35	3.88
51	6.61	5.96	4.84	4.35
52	7.33	6.61	5.37	4.84
53	8.14	7.33	5.96	5.37
54	9.00	8.14	6.61	5.96
55	9.91	9.00	7.33	6.61
56	10.85	9.91	8.14	7.33
57	11.78	10.85	9.00	8.14
58	12.65	11.78	9.91	9.00
59	13.53	12.65	10.85	9.91
60	14.52	13.53	11.78	10.85
61	15.75	14.52	12.65	11.78
62	17.28	15.75	13.53	12.65
63	19.01	17.28	14.52	13.53
64	20.94	19.01	15.75	14.52
65	19.67	17.82	14.71	13.41
66	21.72	19.67	16.17	14.71
67	23.97	21.72	17.82	16.17
68	26.39	23.97	19.67	17.82
69	29.00	26.39	21.72	19.67
70	31.87	29.00	23.97	21.72
71	35.04	31.87	26.39	23.97
72	38.58	35.04	29.00	26.39
73	42.36	38.58	31.87	29.00
74	46.44	42.36	35.04	31.87
75	50.89	46.44	38.58	35.04
76	55.78	50.89	42.36	38.58
77	61.15	55.78	46.44	42.36
78	66.90	61.15	50.89	46.44
79	73.07	66.90	55.78	50.89
80	79.71	73.07	61.15	55.78
81	86.89	79.71	66.90	61.15
82	94.64	86.89	73.07	66.90
83	102.92	94.64	79.71	73.07
84	111.73	102.92	86.89	79.71
85	121.05	111.73	94.64	86.89
86	130.91	121.05	102.92	94.64
87	141.33	130.91	111.73	102.92
88	152.35	141.33	121.05	111.73
89	163.92	152.35	130.91	121.05
90	175.94	163.92	141.33	130.91
91	188.32	175.94	152.35	141.33
92	201.03	188.32	163.92	152.35
93	214.27	201.03	175.94	163.92
94	227.92	214.27	188.32	175.94
95	241.78	227.92	201.03	188.32
96	255.67	241.78	214.27	201.03

97	269.22	255.67	227.92	214.27
98	281.77	269.22	241.78	227.92
99	294.21	281.77	255.67	241.78